RESOLUTION NO. 2026-12

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF FORTUNA ORDERING THE SUBMISSION TO THE QUALIFIED ELECTORS OF THE CITY OF FORTUNA A CERTAIN MEASURE RELATING TO A PROPOSED ORDINANCE AMENDING CHAPTER 3.13 OF TITLE 3 OF THE FORTUNA MUNICIPAL CODE TO AUTHORIZE AN ADDITIONAL CITY TRANSACTIONS AND USE TAX FOR GENERAL PURPOSES AT THE GENERAL MUNICIPAL ELECTION TO BE HELD ON TUESDAY, NOVEMBER 3, 2026, AS CALLED AND PROPOSED TO THE QUALIFIED ELECTORS BY RESOLUTION; DIRECTING THE CITY ATTORNEY TO PREPARE AN IMPARTIAL ANALYSIS OF THE MEASURE; SETTING THE DATES FOR ARGUMENTS ON THE MEASURE; AND REQUESTING THE BOARD OF SUPERVISORS OF THE COUNTY OF HUMBOLDT TO CONSOLIDATE SAID ELECTION PURSUANT TO SECTION 10403 OF THE ELECTIONS CODE

WHEREAS, at the General Municipal Election on Tuesday, November 8, 2016, the qualified voters of the City of Fortuna approved Measure E, which imposed a ¾-cent transaction and use tax ("sales tax") to protect and maintain essential City services, including increasing and restoring police officers and programs, repairing aging/deteriorating streets and potholes, parks maintenance, and programs for youth and seniors; and

WHEREAS, at the General Municipal Election on Tuesday, November 3, 2020, the qualified voters of the City of Fortuna approved Measure G, which extended the sales tax through March 31, 2033; and

WHEREAS, the City Council intends that the transactions and use tax previously approved by the voters and extended through March 31, 2033, shall remain in effect through that date, and that the additional transactions and use tax authorized by the proposed ordinance shall commence on April 1, 2027, and continue thereafter unless repealed in accordance with the ordinance and applicable law; and

WHEREAS, the revenues derived from Measure E are essential to maintain and continue to improve city services, including police protection, code enforcement and other essential services; however, due to rising costs and inflationary pressures, the revenues derived from Measure E are insufficient to continue to maintain the programs and services funded by Measure E; and

WHEREAS, the City desires to amend Chapter 3.13 of the Fortuna Municipal Code to authorize an additional transactions and use tax at the rate of three-quarters of one percent (0.75%) to maintain essential City services, such as protecting public safety; increasing and restoring police officers; repairing aging/deteriorating streets and potholes; providing programs for seniors and youth; and keeping parks clean and safe; and

WHEREAS, the City Council desires to submit to the voters at the election a question relating to the authorization of an additional three-quarters of one percent (0.75%) transactions and use tax for general purposes, commencing April 1, 2027; and

WHEREAS, a General Municipal Election will be held on Tuesday, November 3, 2026, and be called by a Resolution of the City Council; and

WHEREAS, the City Council of the City of Fortuna desires that the County of Humboldt Elections Department conduct the municipal election, pursuant to Elections Code Section 10403, to be held on November 3, 2026; and

NOW, THEREFORE, THE CITY COUNCIL OF THE CITY OF FORTUNA DOES RESOLVE, DECLARE, DETERMINE AND ORDER AS FOLLOWS:

SECTION 1. The City Council, pursuant to its right and authority, does order submitted to the voters at the General Municipal Election of November 3, 2026, the following question:

Fortuna Essential Services Funding Measure	
Shall the measure to maintain essential City services, such as protecting public safety; increasing and restoring police officers; repairing aging/ deteriorating streets and potholes; providing programs for seniors and youth; and keeping parks clean and safe, by authorizing a ¾-cent sales tax in the City of Fortuna, generating $1,800,000 annually for general government use until ended by voters, requiring independent audits, community oversight, and all funds staying in Fortuna, be adopted?	Yes
	No

SECTION 2. The proposed measure submitted to the voters is attached as **Exhibit A**. The City Council hereby approves the ordinance by a two-thirds vote of the City Council, the form thereof, and its submission to the voters of the City at the November 3, 2026 General Municipal Election, as required by Revenue and Taxation Code section 7285.9. The ordinance authorizes an additional transactions tax at the rate of three-quarters of one percent (0.75%) commencing April 1, 2027, and an additional use tax at the rate of three-quarters of one percent (0.75%) commencing April 1, 2027. The additional taxes shall be administered by the California Department of Tax and Fee Administration. The ordinance further provides that the transactions and use taxes previously approved by the voters shall remain in effect through March 31, 2033, unless sooner repealed in accordance with law. From April 1, 2027, through March 31, 2033, the combined rate of the existing and additional transactions taxes, and the combined rate of the existing and additional use taxes, shall be one and one-half percent (1.5%).

SECTION 3. In all particulars not recited in this resolution, the election shall be held and conducted as provided by law for holding municipal elections, including but not limited to Elections Code section 10418.

SECTION 4. Pursuant to the requirements of Section 10403 of the Elections Code, the City Council of the City of Fortuna hereby requests the Board of Supervisors of the County of Humboldt to agree to the consolidation of the Municipal Election with the Statewide General Election on November 3, 2026 and issue instructions to the Humboldt County Elections Department that the election in all respects be held as if there were only one election and to conduct the Municipal Election including the publishing of all election materials, the mailing of sample ballots, the hiring of election officers, canvassing the returns, and the actual conduct of the election.

SECTION 5.

a. The last day for submission of primary arguments for or against the measure shall be by 5:00 p.m. on August 17, 2026.

b. The last day for submission of rebuttal arguments for or against the measure shall be by 5:00 p.m. on August 27, 2026.

c. Primary arguments shall not exceed three hundred (300) words and shall be signed by not more than five persons.

d. Rebuttal arguments shall not exceed two hundred fifty (250) words and shall be signed by not more than five persons; those persons may be different persons than the persons who signed the primary arguments.

e. Pursuant to California Elections Code Section 9282, the Mayor is hereby authorized to file a written argument in favor of the proposed measure on behalf of the City Council. At the Mayor's discretion, the argument may be signed by members of the City Council or bona fide associations or by individual voters who are eligible to vote on the measure. In the event that an argument is filed against the measure, the Mayor is also authorized to file a rebuttal argument on behalf of the City Council, which may be signed by members of the City Council or bona fide associations or by individual voters who are eligible to vote on the measure, which may be different from those who signed the primary argument.

f. Pursuant to California Elections Code Section 9285, when the City Clerk has selected the arguments for and against the measure, which will be printed and distributed to the voters, the City Clerk shall send copies of the argument in favor of the measure to the authors of the argument against, and copies of the argument against to the authors of the argument in favor. Rebuttal arguments shall be printed in the same manner as the primary arguments. Each rebuttal argument shall immediately follow the primary argument, which it seeks to rebut.

g. Pursuant to California Elections Code Section 9280, the City Council hereby directs the City Clerk to transmit a certified copy of the measure to the City Attorney. The City Attorney shall prepare an impartial analysis of the measure, not to exceed 500 words in length, showing the effect of the measure on the existing law and the operation of the measure, and file the impartial analysis with the City Clerk by August 12, 2026.

SECTION 6. The City of Fortuna recognizes that additional costs will be incurred by the County by reason of this consolidation and agrees to reimburse the County of Humboldt for all costs associated with the conduct of the City of Fortuna's municipal election to be held on November 3, 2026.

SECTION 7. That notice of the time and place of holding the election is given and the City Clerk is authorized, instructed and directed to give further or additional notice of the election, in time, form and manner as required by law.

SECTION 8. That the City Clerk shall certify to the passage and adoption of this Resolution and enter it into the book of original Resolutions.

SECTION 9. The approval of this Resolution is exempt from the California Environmental Quality Act (Public Resources Code §§ 21000 et seq., "CEQA," and 14 Cal. Code Reg. §§ 15000 et seq., "CEQA Guidelines"). The transactions and use tax to be submitted to the voters is a general tax that can be used for any legitimate governmental purpose; it is not a commitment to any particular action. As such, under CEQA Guidelines section 15378(b)(4), the tax is not a project within the meaning of CEQA because it creates a government funding mechanism that

does not involve any commitment to any specific project that may result in a potentially significant physical impact on the environment. If revenue from the tax were used for a purpose that would have either such effect, the city would undertake the required CEQA review for that particular project. Therefore, pursuant to CEQA Guidelines section 15060 CEQA analysis is not required.

NOW, THEREFORE, BE IT FURTHER RESOLVED the City Clerk is hereby directed to file a certified copy of this resolution with the Board of Supervisors and the Humboldt County Registrar of Voters.

PASSED AND ADOPTED this 4th day of May 2026, by the following vote:

AYES: Council Members Diaz, Stevens, Mayor Pro Tem Trent, Mayor Johnson
NOES: None
ABSTAIN: None
ABSENT: Council Member Conley

Mike Johnson, Mayor

ATTEST:

Buffy Gray, Deputy City Clerk

APPROVED AS TO FORM:

Ryan T. Plotz, City Attorney

EXHIBIT A

[FINAL APPROVED FORM OF ORDINAINCE 2026-785 TO BE ATTACHED TO THIS RESOLUTION FOLLOWING ADOPTIONG BY THE CITY COUNCIL]

CITY ATTORNEY'S IMPARTIAL ANALYSIS OF MEASURE D

THE PROPOSAL: Measure D asks the voters whether the City of Fortuna should authorize an additional three-quarters of one percent (¾-cent) transactions and use tax, commonly known as a "sales tax," beginning April 1, 2027. The City currently imposes a separate ¾-cent transactions and use tax that is scheduled to expire on March 31, 2033. If Measure D is approved, the combined City transactions and use tax rate will be 1.5% from April 1, 2027, through March 31, 2033.

HOW IT GOT HERE: Fortuna voters approved the existing ¾-cent tax as Measure E in 2016. In 2020, voters approved Measure G, which extended that tax through March 31, 2033. The City Council placed Measure D on the ballot to authorize an additional ¾-cent transactions and use tax.

HOW IT WORKS: Beginning April 1, 2027, the additional ¾-cent tax would apply to taxable retail sales within the City, with a corresponding use tax on taxable tangible personal property stored, used, or otherwise consumed in the City. The tax would be administered by the California Department of Tax and Fee Administration.

The existing ¾-cent tax remains scheduled to expire on March 31, 2033. The additional ¾-cent tax authorized by Measure D would continue after that date unless repealed by the voters or reduced or repealed by the City Council to the extent permitted by law.

HOW THE REVENUE MAY BE USED: Measure D is a general tax. Revenue generated by the measure may be used for any legitimate City governmental purpose, including public safety, police staffing, street and pothole repair, programs for seniors and youth, and park maintenance. The measure is estimated to generate approximately $1.8 million annually. Revenues are subject to independent audit and community oversight.

A "Yes" vote is a vote to approve the additional ¾-cent transactions and use tax.

A "No" vote is a vote against the additional ¾-cent transactions and use tax.

Measure D requires approval by a majority of the voters voting on the measure.

/s/ Ryan T. Plotz

City Attorney, City of Fortuna

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HUMBOLDT COUNTY
ELECTIONS

ARGUMENT IN FAVOR OF MEASURE D

Vote YES on Measure D to Invest in Fortuna's Future.

Fortuna is a community that takes pride in its quality of life, safe neighborhoods, local businesses, and public services. Measure D will help ensure that these community priorities remain strong for years to come.

Over the past year, the City has listened to residents and businesses through community listening sessions and outreach efforts. The feedback received helped shape a new Strategic Plan focused on the priorities identified by our community, including economic vitality, public services, infrastructure, and long-term fiscal sustainability. We listened, and we are taking action.

The City and community partners have already begun implementing these priorities. Efforts are underway to strengthen Fortuna's economy through a community-led working group, a new economic vision and brand and downtown revitalization planning. These are meaningful steps designed to support local businesses, attract investment, and build a stronger future for Fortuna.

Measure D is a ¾-cent sales tax and is expected to generate approximately $1.8 million annually that may be used for essential City services such as public safety, police staffing, street and pothole repairs, programs for seniors and youth, and park maintenance. Revenues remain local, are independently audited, and cannot be taken by Sacramento for state purposes.

Measure D is more than a funding measure. It is an investment in the future we have been planning together. By providing a stable local funding source, Measure D will help the City continue implementing community priorities, maintaining essential services, and supporting a strong local economy.

Join us in investing in Fortuna's future.

Vote YES on Measure D.

Mike Johnson, Mayor